Mutual Mistake

English contract law | Study guide | Ambiguity and objective agreement

A buyer and a seller use the same words but mean different things. The question is whether their communications and conduct, understood objectively, establish agreement on the matter in dispute.

1. Identify the two meanings

Name the disputed words, the meaning each party gave them and why the difference matters. In a mutual mistake the parties are at cross-purposes. In a common mistake they agree on the same transaction but share a false assumption about it.

2. Use the information available to both sides

Read the offer, acceptance and relevant documents in context. Consider what the parties communicated by words or conduct and the background reasonably available to them at formation. A private intention can help explain how the dispute arose. The objective meaning of the bargain determines its effect.

3. Ask whether the ambiguity can be resolved

A date, item number or incorporated schedule may identify one meaning. If the documents and context resolve the ambiguity, apply the bargain objectively established. If both meanings remain plausible and neither can be preferred on a matter essential to the agreement, the parties may have formed no contract.

4. Distinguish formation from breach

First decide whether there was a binding agreement and what it required. Only then consider breach, causation and any remedy. The fact that one party expected something different does not by itself establish breach.

> Legal English | **At cross-purposes** means talking or acting on different understandings. A **latent ambiguity** appears when apparently clear words are applied to the facts.

The Peerless Ships and the Auction

Raffles v Wichelhaus (1864) | Two ships, one name

The agreement referred to cotton arriving on a ship named *Peerless* from Bombay. Two ships of that name sailed from Bombay, one in October and the other in December. The buyer pleaded that it meant the October ship. The seller offered cotton from the December ship. The court held that the buyer's plea was a good answer to the claim. The report gives no extended reasons.

Scriven Bros v Hindley (1913) | Hemp and tow

At auction, hemp and tow, a coarser fibre, carried the same shipping mark, S.L. The catalogue failed to distinguish the materials. The auctioneer accepted a bid for tow that the buyer intended as a bid for hemp. The seller's catalogue contributed to the error. On the findings, the seller could not enforce the sale of tow.

Read the evidence around the label

In *Raffles*, the name appeared clear until it was applied to two voyages. In *Scriven*, the problem lay in the presentation of distinct goods under the same shipping mark. A shared label or lot number may be useful evidence. Its significance depends on what it identifies in context.

The objective approach in modern law

In *RTS Flexible Systems*, the Supreme Court examined what the parties communicated by words and conduct, assessed objectively, to decide whether they intended to be bound and had agreed the essential terms. Apply that inquiry before treating conflicting private intentions as decisive.

In *Smith v Hughes*, the court also distinguished what the buyer believed about the oats from what the buyer believed the seller had agreed to supply.

> Exam method | Give a reason for each plausible meaning. Then identify the evidence that favours one meaning or leaves the ambiguity unresolved.

Worked Problem and Sources

Delivery to Riverside

A supplier and a retailer sign an order for temperature-sensitive goods. It requires delivery to ‘Riverside depot’ by 10 a.m. Both businesses use two depots known as Riverside. One is at the North site and one at the South site. The supplier plans to deliver to North. The retailer expects South. Delivery at the correct depot is essential, and no words, documents or shared practices favour either site. The supplier delivers to North. Can the retailer claim breach?

Model analysis

Two meanings. The place of delivery matters because the goods must arrive at the right depot within a fixed window. Each site fits the name. Private plans explain the disagreement and do not establish a shared location.

Formation and breach. On the stipulated facts, the ambiguity about an essential term cannot be resolved. There is a strong argument that no binding contract was formed, so the retailer cannot recover for breach of a duty to deliver to South.

Evidence. Check the signed order, depot identifiers and any incorporated schedule. An internal dispatch sheet can explain one party’s plan. A route both parties incorporated can establish the agreed destination.

> Variation | The signed order incorporates a routing schedule identifying Riverside as South for this shipment. The schedule supplies an objective meaning. Delivery to North can then constitute breach, with loss and remedies considered separately.

Selected authorities

Raffles v Wichelhaus (1864) 2 H & C 906 | Unresolved ambiguity

Scriven Bros & Co v Hindley & Co [1913] 3 KB 564 | Casebook extract, pp 83–84

RTS Flexible Systems Ltd v Molkerei Alois Müller [2010] UKSC 14, para 45 | Objective formation

Smith v Hughes (1871) LR 6 QB 597 | Terms and assumptions